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WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Play the Hand You Are Dealt

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Last Week's S&P 500 Index:
+1.2%

Key Takeaways

- *While we continue to believe the S&P 500 Index will finish the year modestly lower than current levels, we remain fully allocated to equities in the large-cap and mid-cap asset classes.*
- *The cycle is not over in our opinion. Although the S&P 500 may be near current levels at the end of next year, we do believe investors will have opportunities to make equity adjustments. Patience may be required.*

The equity market continues to grind higher even though we see numerous headwinds and uncertainties, which might not be resolved for at least a few months—and possibly much longer. Some investors are getting impatient, wondering if our call for a modest pullback in the S&P 500 Index by year-end is actually going to occur. As we have mentioned many times in recent years, in our opinion, individual investors overall have been underinvested in stocks. Now, as stocks trade at stretched valuations and the Federal Reserve is in the middle of a rate-hike cycle, interest in equities appears to be starting to grow. Our phone is ringing more often. Investors want to know if we are too conservative and how to best invest if we think the major domestic indices will be trading near current levels at the end of 2018.

The first thing this strategist will do is remind our regular readers that stocks do not go up in every year of a bull market. For example, in 2011, the S&P 500 Index finished the year less than one point lower than it closed on the final trading day of the prior year. The index traded in a better-than-15-percent range during that 12-month period but net-net was basically flat on the year. To some extent, that is how we view the time period between now and the end of next year. We see more volatility but not much net change from point A (now) to point B (year-end 2018).

So, in other words, we want investors to try to take advantage of what the stock market might give them. What do we mean by that? First, we see a modest pullback as likely in coming months. Investors should plan for that possibility now. Are you lacking exposure in any of the five equity asset classes we focus on? Having a plan to put sidelined cash to work or reallocating funds based on market opportunities allows you to make decisions based on rational thought and analysis. Remember, we are calling for a pullback, not the end of the cycle.

We want to examine the current market *updraft* and ask ourselves if this presents an opportunity. If you have been fully allocated to U.S. large-cap stocks for some time, now might be a good opportunity to take a little money off the table and redeploy those funds to an international equity asset class that has been underrepresented in your portfolio. International economies, in our opinion, are earlier in the economic cycle than the U.S.

So, it comes down to having faith in your outlook and executing when opportunities arise. We have been expecting an opportunity to accumulate stocks at lower levels before this year comes to an end. We like to add to equity exposure in favored sectors when prices are down. We prefer to redeploy funds from equity asset classes whose valuations are high when we feel the opportunity is right. But we may need to be patient for longer than planned.

As in the game of life, or the stock market, you need to play the hand you are dealt. We have not seen all our cards at this point, but chances are the next 15 months will offer the potential to play our hand well.

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